



EXECUTIVE SUMMARY

- Churn is highest among **Free-tier users (41%)**.
- **Low engagement** and **slower support resolution** drive churn.
- **Early engagement, re-engagement, and faster support** can improve retention.

Project Overview & Business Goals



FITLY ANALYTICS

© Primary Purpose

Identify factors associated with customer churn to inform data-driven strategies for improving retention and service quality.

Business Goals

- > Reduce monthly churn, with a focus on high-risk Free-tier users.
- > Improve early user engagement to support long-term retention.
- > Identify leading indicators for ongoing churn monitoring.

? Key Questions

- > Which customer segments and subscription tiers have the highest churn rates?
- > Which user behaviors are associated with higher churn risk?
- > How is support resolution time related to customer churn?

Key Metrics to Monitor



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◎ Current Outcome Metrics

- **Churn Rate (%)** – % of users leaving per plan or segment.
- **Support Efficiency** – average resolution time; delays can drive churn.

◎ Current Leading Indicators (Calculated from User Activity Data)

- **Total Events** – total number of actions performed by a user; low activity may indicate risk of churn.
- **Active Days** – number of distinct days a user was active; captures consistent engagement.
- **Days Since Last Activity (DSLAs)** – calculated as the difference between a user's last activity and the latest event in the dataset; identifies inactive users who may be at risk of churn.

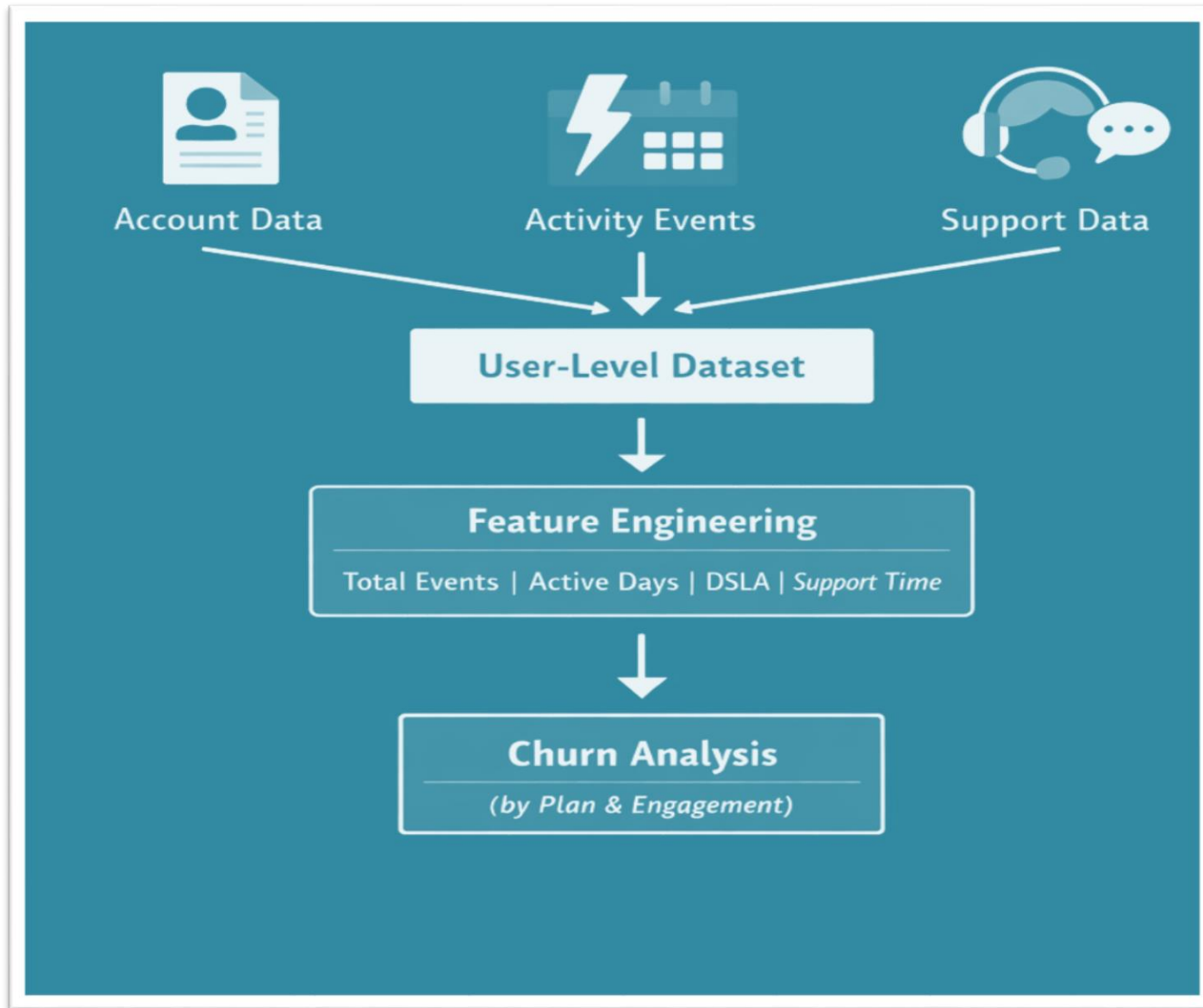
◎ Potential Future Metrics (Post-Intervention)

- **Re-engagement Rate** – % of previously inactive users returning after interventions.
- **Engagement Level Over Time** – tracking trends in active days and events after campaigns.

Data & Methodology



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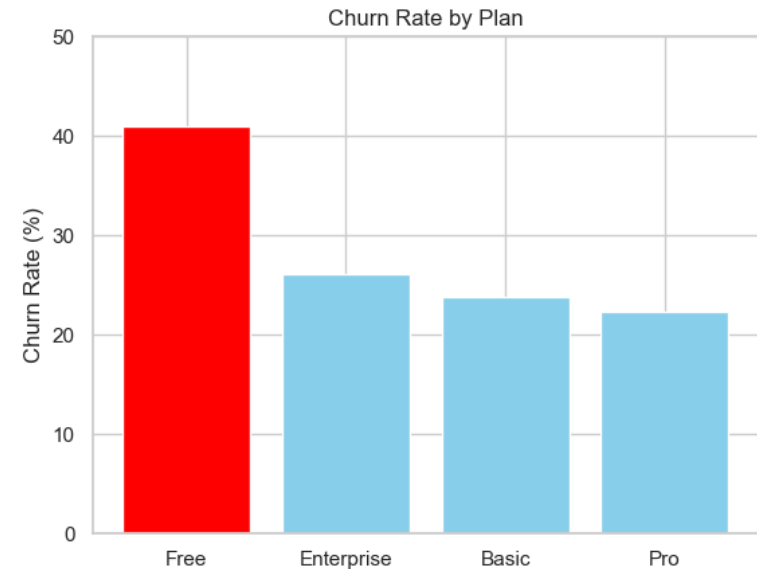


Key Finding #1: High Churn is Concentrated among Free, Low-Engagement Users



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- **Free Tier:** Highest churn, driven by low engagement.
 - Users with **1 recorded event** → **~46% churn rate**
- **Paid Subscriptions (Pro, Basic, Enterprise):**
 - Average churn = **~24%**
 - Suggests **higher perceived value** and/or **better support experience**



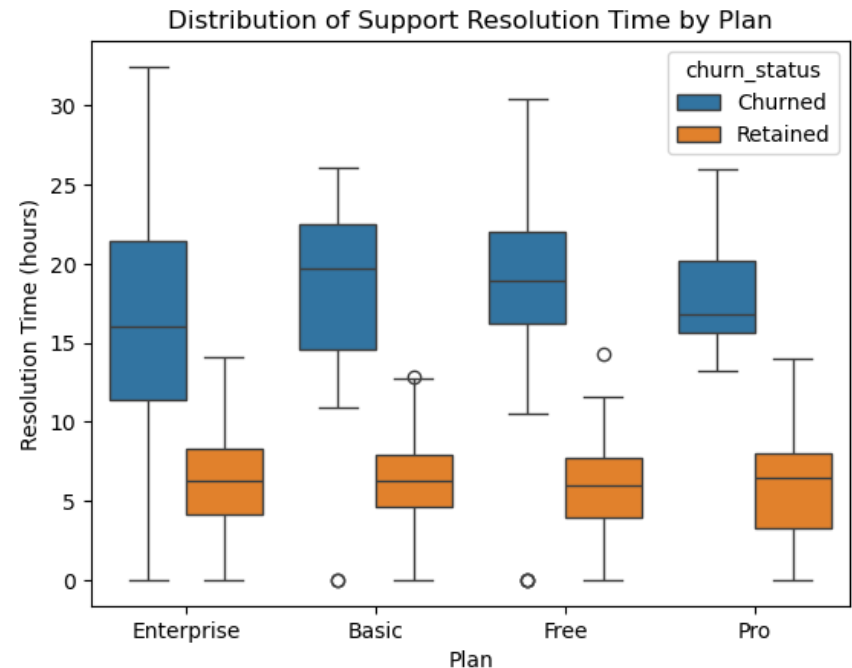
Early engagement and onboarding represent the largest opportunity for churn reduction.

Key Finding #2: Churn is driven by Free Plan Usage and Support Experience



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- Number of support tickets **does not strongly correlate** with churn.
- **Churned users** consistently experience **longer resolution times** than retained users, even within the same subscription plan.
- **Free-tier users** face the **longest average resolution time (~10.8 hours)**.
- **Inactive users** average **~17 hours**, roughly **3× higher** than users who remained active.



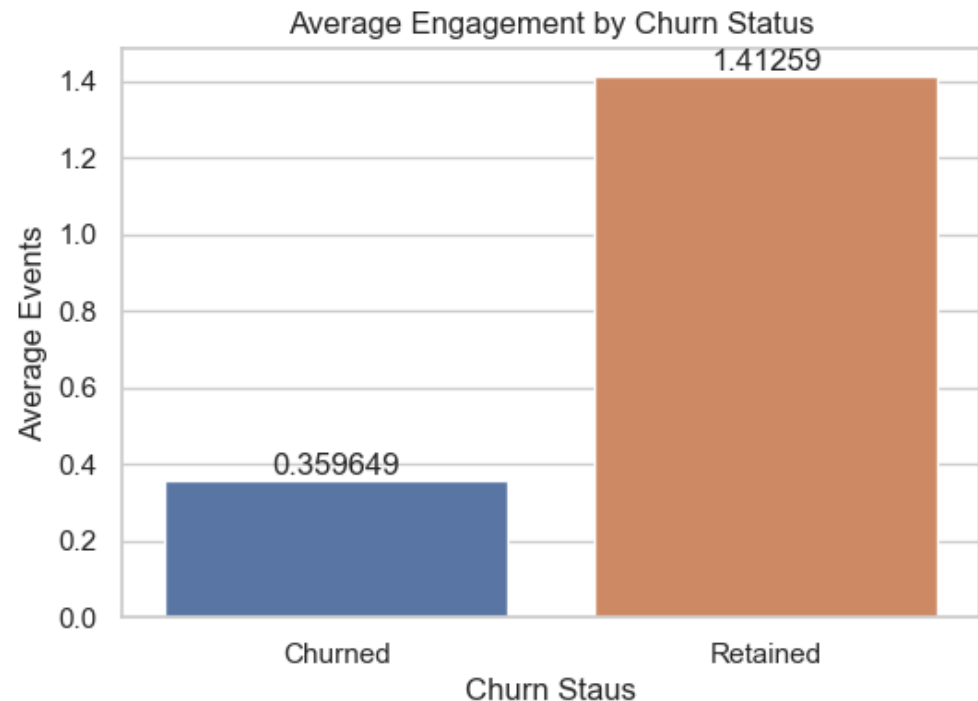
Users on the **Free subscription plan**, particularly those with **low engagement and slower support responsiveness**, exhibit a **significantly higher risk of churn** compared to paid subscribers.

Key Finding #3: Higher Engagement Strongly Improves Retention



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- Retained users exhibit significantly higher activity than churned users.
- On average, retained users have ~4x more recorded events than churned users.
- Churn rates decrease sharply as engagement increases

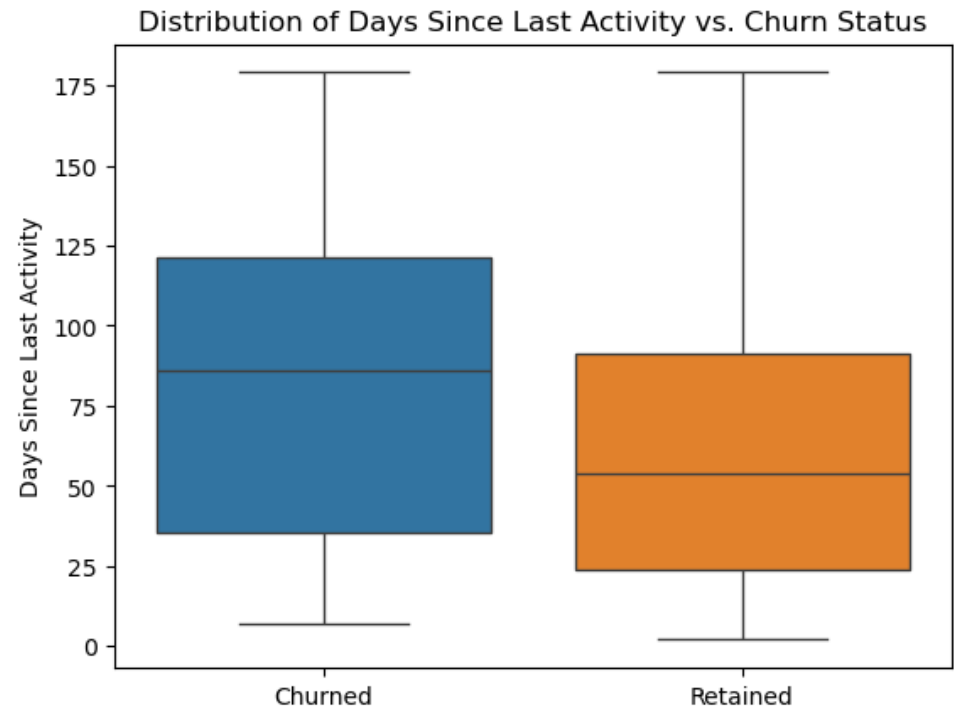


Even modest **increases in user engagement** are associated with substantial **improvements in retention**

Key Finding #4: User Inactivity is a Strong Predictor of Churn



- **Churned users** experience much longer periods of inactivity prior to leaving.
- **Mean days since last activity:**
 - **Inactive / churned users:** ~86 days
 - **Retained users:** ~54 days
- **Prolonged inactivity** is a strong early warning signal for churn.



Churn is rarely sudden; it is typically preceded by **disengagement**.

Recommendations & Next Steps



Implement an Early-Warning Churn System

- Flag users inactive for 30+ days
- Trigger automated or personalized re-engagement campaigns



Strengthen Early User Engagement

- Improve onboarding, particularly for Free & Basic users
- Encourage at least 2–3 meaningful actions during initial usage



Prioritize Support Speed for At-Risk Users

- Fast-track support tickets for inactive or high-value users
- Introduce resolution-time SLAs aligned with churn risk



Align Teams Around Engagement Metrics

- Share engagement metrics across product, support, & marketing teams
- Focus on preventing disengagement rather than reacting to churn

Conclusion: Key Drivers & Retention Insights



Disengagement Drives Churn

Low activity & long inactivity (DSLA warning)



Engagement Protects Against Churn

Increased activity boosts retention



Support Volume ≠ Churn Predictor

Ticket counts don't predict churn



Support Quality Matters

Slow resolution drives churn



Retention Strategy Recommendations

Early engagement & fast re-engagement